

RE03

Industry, MSME and Industrial Policy of Rajasthan

About 3-4 questions a paper out of the 11 Rajasthan Economy questions. RIICO parks, industry-district matching and the newest policy are the three recurring slots.

Rajasthan's industry is built on what the state has under the ground and in its fields - minerals, stone, wool, oilseeds, cotton. RPSC does not ask you to analyse it. It asks you where things are: which park, which district, which policy, which year.

Industry of Rajasthan

Share and structure

- Industry 26.5% of GSVA
- Services 47.7%, agriculture 25.7%
- Mineral-based, agro-based, textile
- Bhiwadi - largest industrial town

Big industries

- Textiles - Bhilwara
- Cement - Chittorgarh, Bundi, Sirohi
- Marble - Makrana, Kishangarh
- Zinc-lead - Chanderiya, Debari
- Refinery - Pachpadra (Balotra)

RIICO

- 1969 RSIMDC, renamed 1980
- 400+ industrial areas, ~93,000 acres
- HQ Udyog Bhawan, Jaipur
- Land and infrastructure, not finance

MSME and policy

- MSME Act 2019 - 3 years, now 5
- Raj Udyog Mitra, Udyam portal
- RIPS 2024 (8 Oct 2024)
- M-Sand Policy 2024
- Rising Rajasthan, Dec 2024

Specialised parks

- MedTech - Boranada (Jodhpur)
- Sports Goods and Toys - Khushkhhera
- Resource Recovery - Jamwa Ramgarh
- Japanese Zone - Neemrana
- Korean Zone - Ghiloth
- Petro Zone - Balotra

Institutions

- BIP - single window agency
- RAJ NIVESH portal
- RFC - industrial finance
- RSMML - mines and minerals
- iStart - startups

Where industry sits in the Rajasthan economy

Start with the proportions, because that is the first thing asked. Rajasthan is not an industrial state in the way Maharashtra or Tamil Nadu are. Its secondary sector is a little over a quarter of the economy. Services are almost half. Agriculture and industry are nearly the same size.

Sectoral composition of Rajasthan's GSVA (Rajasthan Economic Review 2025-26)

Sector	Share of GSVA	What it contains
Services (tertiary)	About 47.7%	Trade, tourism, transport, banking, real estate, public administration
Industry (secondary)	About 26.5%	Mining, manufacturing, electricity, construction
Agriculture and allied (primary)	About 25.7%	Crops, livestock, forestry, fishing

- Rajasthan's industry rests on three legs - minerals and stone, agro and textile processing, and now petroleum.
- Bhiwadi, in the Khairthal-Tijara region, is the state's largest industrial town and lies inside the National Capital Region.
- Other leading RIICO areas: Boranada (Jodhpur), Sitapura and Bais Godam (Jaipur), Ghiloth and Neemrana.
- The state's oldest modern industries were cement (1915) and textiles; the newest is petrochemicals.

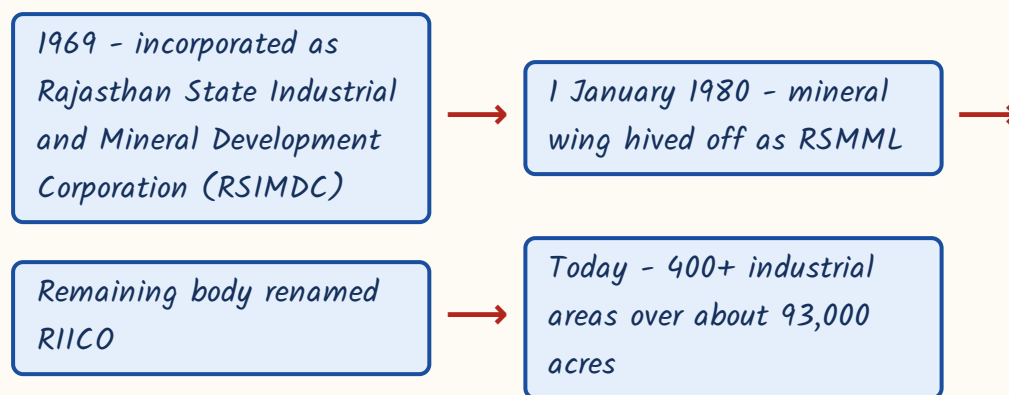
ASKED IN RAS

Sectoral GSVA shares of Rajasthan were asked in RAS Pre 2018, 2023 and 2024. Learn the order first - services > industry > agriculture - and only then the exact percentages.

RIICO - understand it before you memorise its parks

RIICO is the state's land-and-infrastructure agency for industry. It buys land, lays roads, water lines and power, cuts the land into plots and allots them to industrialists. It does not lend money - that is RFC's job. It does not mine - that is RSMML's job. Think of RIICO as the state's industrial estate agent, and everything about it falls into place.

How RIICO came to be



- Full form: Rajasthan State Industrial Development and Investment Corporation.
- Incorporated 28 March 1969; renamed RIICO on 1 January 1980.
- Head office: Udyog Bhawan, Tilak Marg, Jaipur.
- More than 400 industrial areas - the state investment portal reports 415.
- It is the nodal agency for industrial land in Rajasthan.

Who does what - the industrial institutions of Rajasthan

Body	Set up	Function
RIICO	1969 / renamed 1980	Industrial areas, plots, infrastructure
RSMML (Rajasthan State Mines and Minerals Ltd)	Hived off 1980, HQ Udaipur	Mining and mineral marketing

Body	Set up	Function
RFC (Rajasthan Financial Corporation)	1955, under the State Financial Corporations Act 1951, HQ Jaipur	Term loans to small and medium industry
RAJSICO	State small industries corporation	Marketing of handicrafts and small-industry products
Bureau of Investment Promotion (BIP)	Industries and Commerce Department	Single-window investment facilitation

TRAP

Do not mix the three R's. RIICO = land and industrial areas. RFC = finance. RSMML = mines and minerals, head office Udaipur. RPSC has used exactly this confusion in organisation-function matching.

RIICO's specialised parks and zones - the highest-yield table in this chapter

A specialised park is an industrial area reserved for one kind of industry, with the utilities that industry needs already built in. Rajasthan has used them to chase specific investors - Japanese carmakers, Korean electronics firms, medical device makers. Learn the park with its town and then its district. RPSC asks all three ways: park to town, town to district, and 'which one is NOT a RIICO park'.

RIICO specialised parks and zones

Park / Zone	Location	District	Note
MedTech Medical Device Park	Boranada	Jodhpur	Medical devices manufacturing
Sports Goods and Toys Zone	Khushkhera	Bhiwadi region (Khairthal-Tijara)	Sports goods and toys cluster

Park / Zone	Location	District	Note
Integrated Resource Recovery Park	Tholai, Jamwa Ramgarh	Jaipur	Waste recovery and recycling
Japanese Zone	Neemrana	Erstwhile Alwar	India's FIRST country-specific investment zone
Second Japanese Zone and the Korean Zone	Ghiloath	Erstwhile Alwar	Both at the same place
Rajasthan Petro Zone	Balotra	Balotra	About 700 hectares, downstream of the refinery
Fintech Park	Jaipur	Jaipur	Financial technology firms

SEZs and large industrial townships

Project	Location	Partnership / nature
Mahindra World City	Jaipur	Multi-product SEZ - joint venture of the Mahindra Group with RIICO
Gem and Jewellery SEZ	Sitapura, Jaipur	Gemstone cutting, polishing and jewellery export
Khushkhera-Bhiwadi-Neemrana (KBNIA)	North-east Rajasthan	DMIC investment node
Jodhpur-Pali-Marwar (JPMIA)	Western Rajasthan	DMIC investment node

ASKED IN RAS

RAS Pre 2024 asked which park RIICO has NOT developed. Answer: the Agro Food Park at Udaipur. MedTech Boranada, Sports Goods and Toys Khushkhera and Integrated Resource Recovery Jamwa Ramgarh are all genuine RIICO parks.

ASKED IN RAS

RAS Pre 2021 asked where India's first country-specific investment zone, the Japanese Zone, was developed. Answer: Neemrana. RIICO parks have now been asked in 2018, 2021 and 2024 - treat this table as compulsory.

YAAD RAKHO

Yaad rakho: MedTech ka Marwar (Boranada, Jodhpur), Khel ka Khushkhera, Recovery ka Ramgarh, Japan ka Neemrana, Korea ka Ghiloth, Petro ka Balotra.

TRAP

Neemrana is the first Japanese zone. Ghiloth carries the **SECOND** Japanese zone **AND** the Korean zone. If a question says 'Korean Zone - Neemrana', it is wrong.

Corridors and the geography of investment

The Delhi-Mumbai Industrial Corridor runs along the Western Dedicated Freight Corridor. Rajasthan gets the single largest slice of its alignment. That one number - about 39 per cent - is the examinable fact, along with the two nodes.

- About 39% of the DMIC alignment length falls in Rajasthan - the largest share of any state.
- Two DMIC investment nodes in Rajasthan: Khushkhera-Bhiwadi-Neemrana (KBNIA) and Jodhpur-Pali-Marwar (JPMIA).
- The KBNIA node sits in the NCR belt; the JPMIA node anchors western Rajasthan.

- Mahindra World City, Jaipur is the state's flagship multi-product SEZ, built with RIICO as partner - asked in 2018, 2021 and 2024.

Rajasthan's investment belts at a glance

Belt	Districts / towns	Character
NCR belt	Bhiwadi, Khushkhera, Neemrana, Ghiloth	Auto, electronics, foreign zones, largest industrial town
Jaipur belt	Sitapura, Bais Godam, Mahindra World City, Jamwa Ramgarh	Gems, IT and ITeS, SEZ, resource recovery
Marwar belt	Boranada, Pali, Balotra, Pachpadra	MedTech, textiles and dyeing, refinery and petro zone
Mewar-Hadoti belt	Chittorgarh, Bhilwara, Kota, Bundi	Cement, zinc-lead, textiles, fertiliser

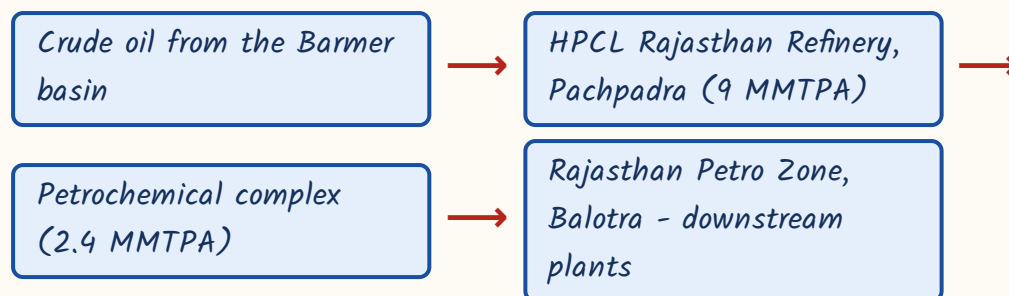
The Pachpadra refinery - Rajasthan's biggest single industrial project

Rajasthan produces crude oil in the Barmer basin but had no refinery of its own. Pachpadra fixes that. It is a refinery-cum-petrochemical complex, run by a joint venture company called HPCL Rajasthan Refinery Limited. Note the ownership split and the district carefully - the district was carved out and renamed, and RPSC loves exactly that kind of change.

- Location: Pachpadra, in BALOTRA district (carved out of the erstwhile Barmer district).
- Company: HPCL Rajasthan Refinery Ltd (HRRL) - HPCL 74%, Government of Rajasthan 26%.
- Capacity: 9 MMTPA (9 million tonnes a year) of crude refining, plus 2.4 MMTPA of petrochemicals.
- It is Rajasthan's first crude oil refinery-cum-petrochemical complex.

- The Rajasthan Petro Zone at Balotra, about 700 hectares, is being developed by RIICO for downstream units.

From Barmer crude to finished plastics



CURRENT LINK

Current link (as of September 2026): the CCEA approved a revised project cost of about Rs 79,459 crore for the HPCL Rajasthan Refinery in April 2026, and the refinery was declared commercially operational in June 2026. Expect a question on the capacity, the equity split or the district.

TRAP

Two traps here. First, the district is Balotra now, not Barmer - a paper may test the new district map. Second, Pachpadra is also an old salt-producing centre; a question on salt and a question on the refinery can both point at the same town.

Major industries and their districts - learn this as a matching table

This is pure matching material. RPSC almost never asks why an industry is located somewhere; it asks where it is. Read the tables twice, then cover the district column and test yourself.

Textile, cement, stone and glass

Industry	Centre	District
Textiles - 'Textile City', polyester and suiting	Bhilwara	Bhilwara
Dyeing and printing	Pali and Balotra	Pali, Balotra
Hand block printing	Sanganer and Bagru	Jaipur
Kota Doria (GI)	Kaithun	Kota
First cement plant of Rajasthan, 1915	Lakheri	Bundi
J.K. Cement	Nimbahera	Chittorgarh
Birla Cement Works	Chittorgarh	Chittorgarh
Shree Cement	Beawar	Beawar (erstwhile Ajmer)
J.K. Lakshmi Cement / Binani Cement	Jaykaypuram, Pindwara	Sirohi
Mangalam Cement	Morak	Kota
White marble of the Taj Mahal	Makrana	Didwana-Kuchaman (erstwhile Nagaur)
Largest marble processing and trading hub	Kishangarh	Ajmer
Black marble	Bhainslana	Jaipur
Glass industry (silica sand base)	Dholpur	Dholpur

Metals, chemicals, agro and crafts industry

Industry	Centre	District
Zinc-lead smelter, among the world's largest single-location complexes	Chanderiya	Chittorgarh
Zinc smelter	Debari	Udaipur
Lead-zinc mine and smelter	Dariba	Rajsamand
One of India's oldest zinc mines	Zawar	Udaipur
Urea - Chambal Fertilisers and Chemicals	Gadepan	Kota
Shriram Fertilisers and Chemicals	Kota	Kota

Industry	Centre	District
Sugar - state sector, Ganganagar Sugar Mills	Sri Karanpur	Sriganganagar
Sugar - co-operative sector	Keshoraipatan	Bundi
Salt - Sambhar Salts Ltd (JV of Hindustan Salts and the State)	Sambhar	Jaipur-Nagaur border
Salt - Rajasthan State Chemical Works	Didwana	Didwana-Kuchaman
Wool trading and processing centre	Bikaner	Bikaner
Gems and jewellery, world centre for coloured stones	Jaipur	Jaipur
Leather complex	Manpura-Macheri, Bassi	Jaipur
Wooden handicraft exports	Jodhpur	Jodhpur

- Hindustan Zinc Ltd has its registered office at Udaipur - not Jodhpur, not Jaipur.
- Rajasthan is India's third largest producer of salt, after Gujarat and Tamil Nadu.
- Central Wool Development Board is at Jodhpur; the Central Sheep and Wool Research Institute is at Avikanagar in Tonk district.
- Sugar is a weak industry in Rajasthan - only two notable mills, one state and one co-operative.

ASKED IN RAS

A standard RPSC format is 'which pair is NOT correctly matched'. Classic wrong pairs used in this chapter: cement - Sriganganagar (there is no cement belt there), Bhainslana black marble - Nagaur (it is Jaipur), Hindustan Zinc - Jodhpur (it is Udaipur).

YAAD RAKHO

Wool for wool: Bikaner trades it, Jodhpur has the Board, Avikanagar (Tonk) has the research institute. Three different towns, three different roles.

Handicrafts - small industry, big matching value

Handicrafts sit inside the MSME story and are a large employer. For the prelims their value is entirely in craft-to-place matching, so keep this short and memorised.

Craft and its home

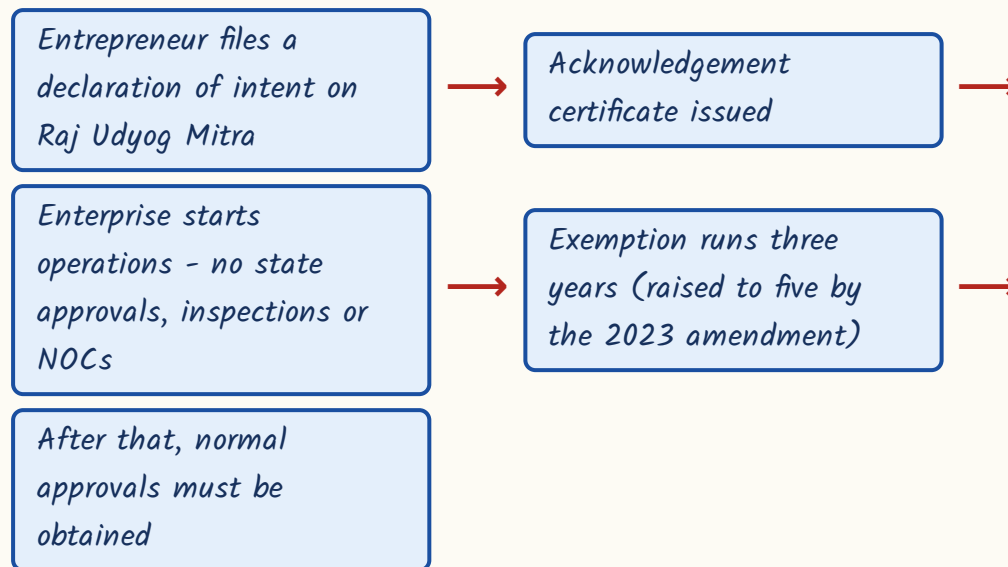
Craft	Centre / District
Thewa (gold work on glass)	Pratapgarh
Blue pottery	Jaipur
Molela terracotta plaques	Rajsamand
Usta / Munawwat (camel-hide gold painting)	Bikaner
Namda (felted woollen rugs)	Tonk
Handmade paper	Sanganer, Jaipur
Kota Doria weaving	Kaithun, Kota

- One District One Product (ODOP) Policy 2024 links each district to a signature product - many of them crafts.
- RAJSICO is the state agency that markets handicraft and small-industry output.

MSME in Rajasthan - the 2019 Act is the star

Here is the idea behind the Rajasthan MSME Act, 2019. Normally a new factory needs a stack of approvals, NOCs and inspections before it can start. Rajasthan flipped that. You file a simple declaration of intent, you get an acknowledgement certificate, and then you may run for three years without those state approvals. Compliance comes later. That is why it is called a Facilitation Act.

How the MSME Act 2019 works



- Full name: Rajasthan Micro, Small and Medium Enterprises (Facilitation of Establishment and Operation) Act, 2019.
- Original exemption period: THREE years. The 2023 amendment raised it to five years.
- Portal for the acknowledgement certificate: Raj Udyog Mitra.
- The exemption is temporary and conditional - it is never a permanent waiver of all approvals.
- Udyam Registration Portal, run by the central Ministry of MSME, is the all-India MSME registration platform.
- Cluster development groups similar small units - stone, textiles, crafts - and gives them shared facilities.

- RFC finances small and medium units; revival of sick industrial units is handled through its rehabilitation schemes.

State MSME Act 2019 vs central Udyam registration

Rajasthan MSME Act 2019	Udyam Registration (Ministry of MSME)
State law, applies in Rajasthan only	Central platform, applies all over India
Exempts a new unit from state approvals for 3 years (now 5)	Gives the unit its formal MSME identity and number
Portal: Raj Udyog Mitra	Portal: Udyam Registration Portal
Purpose - let the unit start fast	Purpose - classify the unit and open central schemes

ASKED IN RAS

RAS Pre 2023 asked the exemption period under the Act as originally enacted. Answer: three years. If a question says 'permanent exemption from all state approvals', that option is always wrong.

The policy package - RIPS 2024, Rising Rajasthan, M-Sand and startups

In 2024 the state rewrote its whole industrial policy set in one go, just before its big investment summit. Learn the package as a package - RPSC asks year-matching and chronology questions from it.

The 2024 policy package

Policy	What it does
Rajasthan Industrial Development Policy 2024	The umbrella policy for industrial growth
RIPS 2024 (notified 8 October 2024)	The incentive scheme - replaced RIPS-2019

Policy	What it does
Rajasthan MSME Policy 2024	Support framework for micro, small and medium units
One District One Product (ODOP) Policy 2024	One signature product per district, promoted and branded
Export Promotion Policy 2024	Export infrastructure and market support

- RIPS = Rajasthan Investment Promotion Scheme. It is the money side of industrial policy.
- RIPS 2024 offers SGST reimbursement, asset creation or investment subsidy and employment generation subsidy.
- It also exempts eligible units from stamp duty, land conversion charges and electricity duty.
- The scheme replaced RIPS-2019; remember the notification date, 8 October 2024.

Rising Rajasthan and the promotion machinery

Rising Rajasthan was the state's global investment summit. Its purpose was to sign MoUs and convert them into projects. Two institutions carry that work forward - the Bureau of Investment Promotion, which is the single-window agency, and RAJ NIVESH, which is the online clearance portal.

- Rising Rajasthan Global Investment Summit - 9 to 11 December 2024, at JECC, Sitapura, Jaipur.
- Inaugurated by the Prime Minister; MoUs of the order of about Rs 35 lakh crore were reported.
- A Pravasi Rajasthani Conclave and an MSME Conclave were held as part of it.
- Bureau of Investment Promotion (BIP) - single-window facilitation agency under the Industries and Commerce Department.

- *RAJ NIVESH* - the online single window clearance portal for investors.
- *M-Sand Policy 2024*, announced 30 December 2024 - manufactured sand from crushed rock, to replace river bajri.
- Target: raise M-sand output to 30 million tonnes by 2028-29.
- Incentives: stamp duty exemption, seven-year electricity duty exemption, and assured government procurement.
- *Rajasthan Startup Policy 2022* replaced the *Startup Policy 2015*.
- *iStart Rajasthan (DoIT&C)* is the startup platform; *QRate* is its rating mechanism; *iStart Nest* is the incubation network.

ASKED IN RAS

Ease of Doing Business was asked in RAS Pre 2021 and again in 2024. The states' assessment under the Business Reform Action Plan (BRAP) is done by DPIIT, Ministry of Commerce and Industry. BRAP 2020 used four categories - Top Achievers, Achievers, Aspirers and Emerging Business Ecosystems - and Rajasthan was placed in 'Aspirers'.

CURRENT LINK

Current link (as of September 2026): the Rising Rajasthan MoUs are in the grounding stage, and the state has said the summit will be repeated. For 2026 keep the summit's date, venue and MoU magnitude ready, and watch for any second edition announcement.

REVISION RECAP

1. Industry about 26.5% of GSVA; services 47.7%; agriculture and allied 25.7%.
2. RIICO - incorporated 1969 as RSIMDC, renamed 1 January 1980, HQ Udyog Bhawan Jaipur.
3. RIICO has 400+ industrial areas over about 93,000 acres; nodal agency for industrial land.
4. RSMML mines (HQ Udaipur), RFC finances (1955, Jaipur), RAJSICO markets crafts.

5. MedTech Park - Boranada, Jodhpur. Sports Goods and Toys Zone - Khushkhhera.
6. Integrated Resource Recovery Park - Tholai, Jamwa Ramgarh, Jaipur.
7. Japanese Zone Neemrana = India's first country-specific zone; Ghiloth = second Japanese + Korean.
8. Mahindra World City Jaipur - multi-product SEZ with RIICO; Gem and Jewellery SEZ at Sitapura.
9. DMIC: about 39% of the alignment in Rajasthan; nodes KBNIA and JPMIA.
10. Pachpadra refinery in Balotra district - HRRL, HPCL 74% and state 26%, 9 MMTPA plus 2.4 MMTPA petrochemicals.
11. Bhilwara textiles, Lakheri (Bundi) first cement 1915, Makrana marble, Kishangarh marble market.
12. Dholpur glass, Gadepan (Kota) urea, Chanderiya (Chittorgarh) zinc-lead, Bikaner wool, Jaipur gems.
13. Rajasthan is India's third largest salt producer, after Gujarat and Tamil Nadu.
14. MSME Act 2019 - declaration of intent, acknowledgement certificate, three-year exemption, five after 2023.
15. Raj Udyog Mitra is the state MSME portal; Udyam Registration Portal is the central one.
16. RIPS 2024 notified 8 October 2024, replacing RIPS-2019 - SGST reimbursement and subsidies.
17. 2024 package: Industrial Development Policy, RIPS, MSME Policy, ODOP, Export Promotion Policy.
18. Rising Rajasthan Summit - 9-11 December 2024, JECC Sitapura, about Rs 35 lakh crore of MoUs.
19. M-Sand Policy 2024 (30 December 2024) - 30 million tonnes target by 2028-29.
20. BRAP ranking is by DPIIT; Startup Policy 2022 with iStart, QRate and iStart Nest.